GMS WEEKLY

Your Source for Recycling News

June 23rd, 2023
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Week 25

Highlights:

- **Basking in HKC.**
- **Sentiments down.**
- **Eid onset.**
- **Bangla struggles.**
- **LC difficulties.**
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QUOTE of the WEEK

"Definitions belong to the definers, not the defined."

– Toni Robinson

MARKET COMMENTARY

SALES STIFLED!

After last week's positive news surrounding Bangladesh's ratification of the Hong Kong Convention, it has been a comparatively muted week in terms of sentiments, sales, and activity, especially as financial constraints continue to hamper the efforts of Chattogram Buyers in keeping domestic yards busy / occupied, especially as new construction and infrastructure projects look to be initiated in the country post-Budget.

Earlier this year, we had witnessed severe difficulties in Bangladesh with the government focusing only on essential items for the expenditure of its dwindling U.S. Dollar reserves – reportedly food, fuel, and fertilizers. It appears that post-budget, Chattogram (and the ship recycling market at large) will once again have difficulties in obtaining L/C approvals on incoming vessels and it is likely to be a quieter summer for this market as a result.

As we also tend to see a traditionally quieter summer / monsoon season, it is undoubtedly turning out to be particularly challenging time for Bangladeshi Recyclers this time around, as most end users are already struggling to obtain financing on units and have therefore abstained from the offering for another week.

The onset of Eid holidays and celebrations has also not assisted the current situation as many labourers and office staff head back to hometowns for several weeks (even though Eid holidays end on 1 July) while nearly all of the yards virtually close and activity subsides over the rainy season (especially in Bangladesh and India).

In the far end on the West, Turkish Recyclers turn increasingly frustrated on that Lira that has been in freefall for 18 months now and has weakened by a nearly catastrophic 200% during this time.

As such, the sales board for the overall industry remains bleak for another week and any Owners or Cash Buyers with tonnage to sell have certainly become frustrated with a lack of overall appetite, weak(ish) prices and an willingness to buy from the various recycling destinations.

For week 25 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Stable	575 / LDT	605 / LDT	625 / LDT
2	India	Stable	520 / LDT	540 / LDT	560 / LDT
3	Pakistan*	Weak	510 / LDT	530 / LDT	550 / LDT
4	Turkey	Weak	320 / LDT	330 / LDT	340 / LDT

**Subject L/C approval*

BANGLADESH

CLAMPDOWN!

HKC attention.

Of course, much of the attention continues to fall on the recently announced positive news of Bangladesh finally ratifying the Hong Kong Convention – the only other sub-continent recycling destination to do so after India.

The next steps for the convention to finally enter into force is subject to a flag state also ratifying the convention. At this juncture, it is reportedly either Marshall Islands or the Liberian Flag.

Foreign currency woes.

In terms of new activity post budget and in addition to the onset of Eid, the government has seemingly clamped down on foreign currency expenditures and reserves as Central bank approvals are once again becoming increasingly hard to come by on fresh acquisitions – something that will significantly hamper intended domestic construction and infrastructure projects.

Although Bangladesh is currently the highest paying recycling destination in the world, its key domestic fundamentals are not performing as well as local and industry players would have preferred.

Not only have local steel plate prices flatlined once again, the Taka too weakened (albeit marginally), as it slipped passed BDT 108.0 against the U.S. Dollar this week.

Certainly, a tough summer ahead Chattogram Recyclers.

NO MARKET SALES REPORTED

INDIA

STALE SENTIMENTS!

Being the largest ship recycling destination in the world and compared to all of the other major recycling destinations, India was the only country to record positive fundamentals over the last couple of weeks.

Muted.

Not only has the Indian Rupee firmed against the U.S. Dollar and is below Rs. 82 (at the time of writing), local steel plate prices have also recorded positive movements and reportedly even firmed by about USD 6/Ton, where both Bangladesh and Pakistan have flatlined once again.

Currency gains.

Despite this, Alang sentiments remain muted and rather stale.

Moreover, even though several vessels were reportedly discussed into India for an HKC only resale (including LNGs and containers), unfortunately, all the levels on offer have so far have failed to capture the attention of Ship Owners, resulting in NO confirmed market transactions this week.

As monsoon kicks in and yard laborers and staff both in India and Bangladesh return to their hometowns, India might just have a leg up on Bangladesh, given that Alang Buyers no L/C restrictions and Ship Owners and Cash Buyers would both have to accept a lower pricing from Alang – especially if they have a unit that has passed the point of inevitability and is overdue for a visit to a beach for its eventual retirement.

NO MARKET SALES REPORTED

PAKISTAN

NON-EVENT!

Irrelevant.

The nonevent that is currently the Pakistani ship recycling sector, continued for another quiet week, especially as the advent of Eid holidays further rendered Gadani as an even more inactive destination - silent and uncompetitive since the start of the year.

Not only have Pakistani Recyclers yet to upgrade their ship recycling facilities to mirror the ongoing improvements being made by the Bangladeshi and Indian markets, but political, economic, and financial turmoil across Pakistan has also left any serious offers from this market out of consideration?

Failures.

Domestic fundamentals also remain as much of a non-event as the ongoing performance of this market, whilst local steel plate prices continue to flatline for weeks on end as not a single vessel has graced a local recycling yard with its presence since end of January - and with no ships steel available for trading, there are no steel rates emerging.

The Pakistani Rupee was this markets only silver lining this week as the Rupee firmed marginally from PKR 287.20 to PKR 286.33.

Overall, port reports and the sales board remain unsurprisingly empty, and we can expect this to likely remain the case for the remainder of this year, until some serious change comes to the country

NO MARKET SALES REPORTED

TURKEY

CURRENCY $CRAP!

The Lira seems to have found itself strapped to a roller coaster that has been in freefall for the last 18 months - and is yet to find its bottom.

TRY 26??

Last week, the Lira drastically depreciated past TRY 22, ending the week at levels excess TRY 23.5X. This week, the Lira pushed past TRY 25.75 mid-week, only to end the week at levels just above TRY 25.

This spiralling key fundamental has created a shockwave that's finally managed to shake up local sentiments, which are expectedly fraught.

Friends and Family.

Moreover, even though local steel plate prices have remained stable through the course of the week, local Recyclers don't seem to have the appetite to bid on tonnage that in itself has been missing from this market for quite some time. And given that industry players are unable to gauge where levels truly stand today as no market units have been concluded into Turkey, it truly is a testing time for this market.

Devoid of meaningful tonnage and necessary fundamentals (like the Pakistani market), just how far can this market continue to survive at this rate, remains to be seen. For now, with religious Eid Holidays upcoming, hopefully locally Recyclers can find distraction amongst friends and family.

NO MARKET SALES REPORTED

INTERESTING SPACE FACTS

- *The reason why clouds appear white is because they reflect the sun's light. (Like the Moon!)*
- *People that belong to the religions Hinduism or Buddhism believe that the common Cumulus cloud is the spiritual cousin of elephants.*
- *There is an international Cloud Committee.*
- *Any planet with an atmosphere most likely has clouds.*
- *The month of March is named after Mars.*
- *If a human went to Mars without a space suit, their blood would turn to bubbles, and they would die.*
- *There are very violent and dark dust storms on Mars.*
- *The crust of Mars is thicker than Earth's and it only has one piece. (Earth has multiple pieces called tectonic plates.)*
- *During a winter in Mars, about twenty percent of the air freezes.*
- *The average temperature on Mars is minus 81 degrees Fahrenheit.*
- *Scientists believe that the Earth may have had two moons at one point in time.*
- *The ashes of Eugene Shoemaker, a famous astronomer and geologist, are sprinkled on the moon's surface.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha July 28 – July 29 - Ashura	June 14 – June 22 June 30 – July 09 July 13 – July 22

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha July 01 – Bank Holiday July 29 - Ashura	July 03 – July 06 July 18 – July 21

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
June 22 – June 24 – Dragon Boat Festival **No Holidays in July**	June 29 – July 01 – Eid Ul Azha July 03 – Bank Holiday July 27 – July 28 – Ashoora	June 27 – July 01 – Kurban Bayrami July 15 – Democracy and National Solidarity Day

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ALANG - Port Position as of June 16, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Diadem*	*21,731*	*Container*	*Beached June 20*
2	*Enix*	*2,529*	*LPG*	*Beached June 20*
3	*MSC Kerry*	*15,580*	*Container*	*Beached June 21*
4	MSC Nicole	14,305	Container	Arrived June 23
Total Tonnage		**36,098**		

CHATTOGRAM - Port Position as of June 16, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Changyang*	*7,993*	*General Cargo*	*Beached June 22*
2	Daebokgasho	1,108	LPG	Arrived June 20
3	*Eternal Luck*	*7,527*	*Bulk Carrier*	*Beached June 20*
4	*Golden Sun*	*6,096*	*Bulk Carrier*	*Beached June 17*
5	*H Power*	*18,239*	*Bulk Carrier*	*Beached June 19*
6	Hong Hao	11,857	General Cargo	Arrived June 20
7	*Jin Yuan Xing 9*	*7,576*	*Bulk Carrier*	*Beached June 21*
8	*Tian He Shun*	*7,349*	*Bulk Carrier*	*Beached June 18*
Total Tonnage		**55,524**		

GADANI - Port Position as of June 16, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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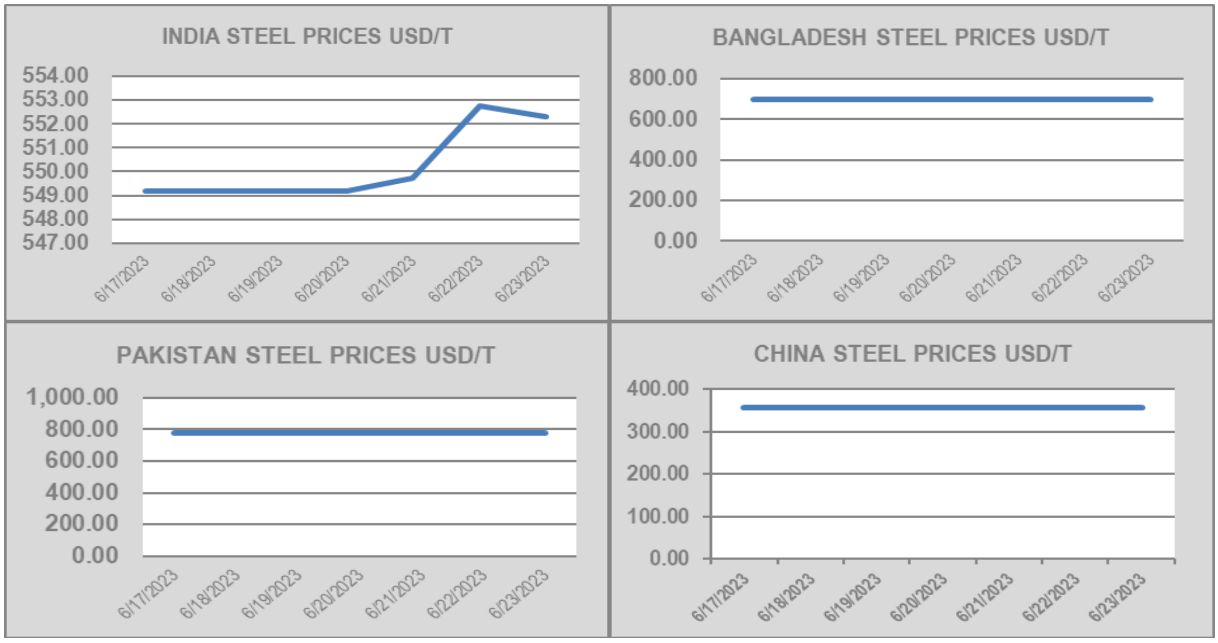
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
6/17/2023	549.18	45,000.00	777.39	220,000.00	695.24	73,000.00	357.00
6/18/2023	549.18	45,000.00	777.39	220,000.00	695.24	73,000.00	357.00
6/19/2023	549.18	45,000.00	777.39	220,000.00	695.24	73,000.00	357.00
6/20/2023	549.20	45,100.00	777.39	220,000.00	695.24	73,000.00	357.00
6/21/2023	549.73	45,100.00	777.39	220,000.00	695.24	73,000.00	357.00
6/22/2023	552.78	45,300.00	777.39	220,000.00	695.24	73,000.00	357.00
6/23/2023	552.30	45,300.00	777.39	220,000.00	695.24	73,000.00	357.00



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